

chapter 6 Sales Revenue, Receivables, and Cash

Financial Accounting

12e

Libby • Libby • Hodge

Learning Objectives

After studying this chapter, you should be able to:

- 6-1** Analyze the impact of credit (and debit) card sales, sales discounts, sales returns, and sales of bundled items on the amounts reported as net sales revenue and selling, general, and administrative expense.
- 6-2** Estimate, report, and evaluate the effects of uncollectible accounts receivable (bad debts) on financial statements.
- 6-3** Analyze and interpret the receivables turnover ratio and the effects of accounts receivable on cash flows.
- 6-4** Report, control, and safeguard cash.

Learning Objective 6-1

6-1 Estimate, report, and evaluate the effects of uncollectible accounts receivable (bad debts) on financial statements.

Accounting for Net Sales Revenue (1 of 3)

The revenue recognition principle requires that revenues be recorded:

1. **when** the company transfers goods and services to customers.
2. in the **amount** the company expects to be entitled to receive.

Accounting for Net Sales Revenue (2 of 3)

For sellers of goods, sales revenue is recorded when **title and risks of ownership transfer to the buyer**.

The point at which title (ownership) changes hands is determined by these **shipping terms**: **FOB destination** and **FOB shipping point**.

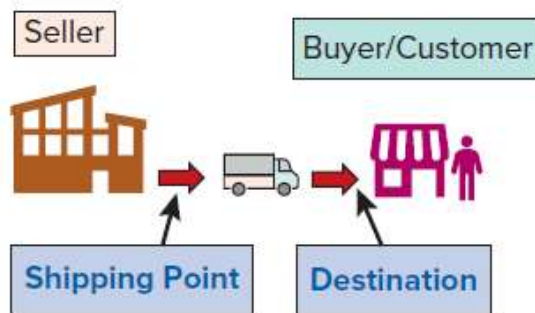
- ❖ FOB destination – title changes hands on delivery and the seller normally pays for shipping.
 - Revenue recognized at delivery.
- ❖ FOB shipping point –title changes hands at shipment and the buyer normally pays for shipping.
 - Revenue recognized at shipment.
- ❖ Direct-to-consumer revenues are recognized at the point of sale at the company's retail stores and upon shipment for sales through their websites.

Service companies most often record sales revenue when they have provided services to the buyer.

Accounting for Net Sales Revenue (2 of 3)

For sellers of goods, sales revenue is recorded when **title and risks of ownership transfer to the buyer**.

The point at which title (ownership) changes hands is determined by these **shipping terms**: **FOB destination** and **FOB shipping point**.



FOB Shipping Point:

For Seller → **Point of sale**; **don't count** goods as inventory

For Buyer/Customer → **Point of purchase**; **count** goods as inventory while in transit

FOB Destination:

For Seller → **Not a sale** until delivered; **count** goods as inventory while in transit

For Buyer/Customer → **Not a purchase** until received; **don't count** goods as inventory

Service companies most often record sales revenue when they have provided services to the buyer.

Summary of Significant Accounting Policies

Here is an example of a financial statement footnote that discloses the revenue recognition rule:

NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

1. Summary of Significant Accounting Policies

Revenue Recognition

... The Company recognizes sales revenue, net of estimated returns and excluding sales and value-added taxes. Revenue is recognized at point of sale or upon shipment, the point in time where control transfers to the customer. Wholesale sales are recognized upon shipment. Direct-to-consumer revenues are recognized at the point of sale for transactions with customers at the Company's retail stores and recognized upon shipment for sales made through its websites. ...

Source: Skechers U.S.A., Quarterly Report

Motivating Sales and Collections

Companies use a variety of methods to motivate businesses and consumers to buy their products and make payments for their purchases, including:

- 1) Allowing consumers to use credit cards to pay for purchases.
- 2) Providing business customers direct credit and discounts for early payment.
- 3) Allowing returns from all customers under certain circumstances.

Credit Card Sales to Consumers

Companies accept cash or credit (and debit) card payments (mainly Visa, Mastercard, and American Express) for retail store and online sales for a variety of reasons including:

1. Increasing customer traffic.
2. Avoiding the costs of providing credit directly to consumers, including recordkeeping and bad debts (discussed later).
3. Lowering losses due to bad checks.
4. Avoiding losses from fraudulent credit card sales. *(As long as the retailer follows the credit card company's verification procedure, the credit card company [e.g., Visa] absorbs any losses.)*
5. Receiving money faster. *(Credit card receipts can be deposited directly in the company's bank account)*

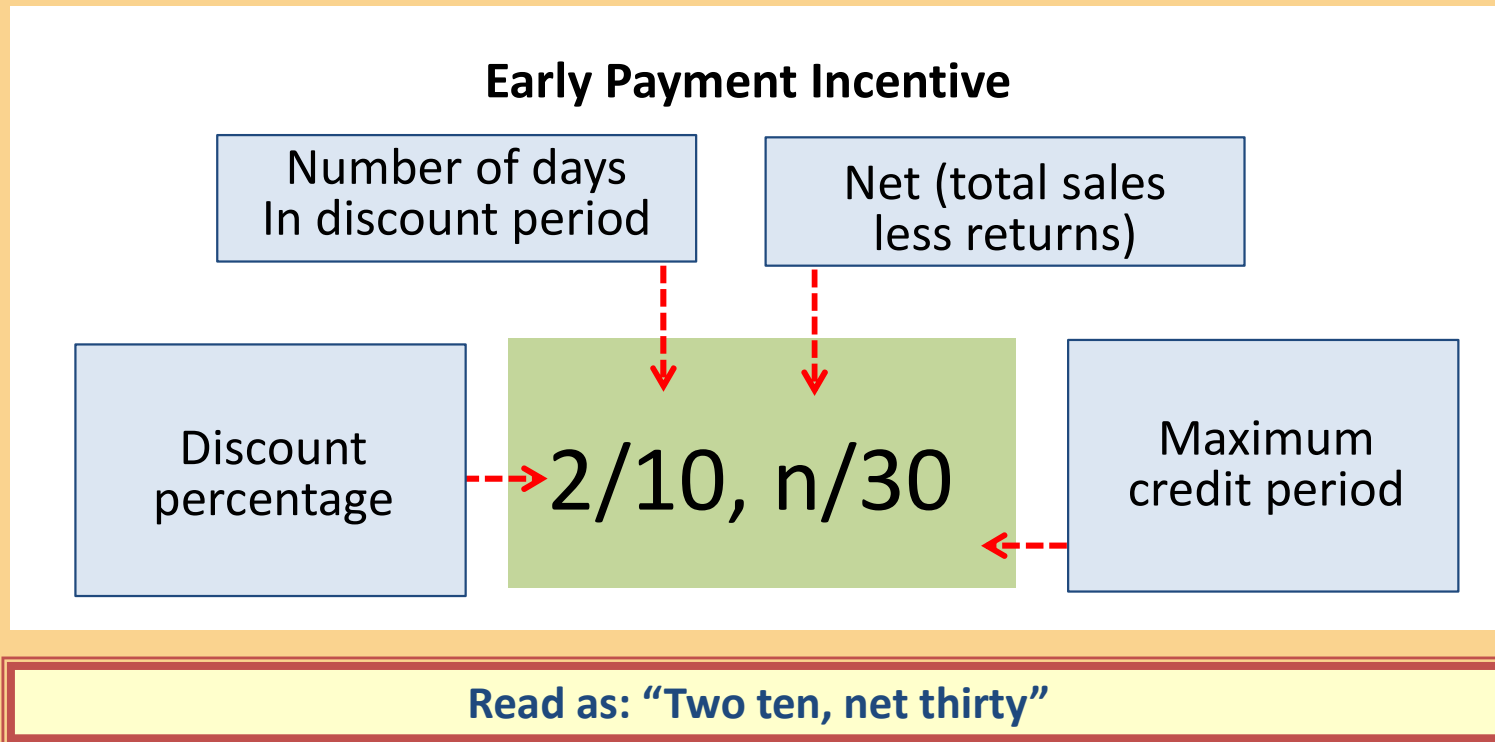
The card company charges a fee for the service it provides. These card fees (the **credit card discount**) are most often included in **selling, general, and administrative expenses**.

The accounting is the same when customers use a contactless mobile payment app such as Google Pay or Apple Pay.

Sales Discounts to Businesses (1 of 2)

Companies often sell to other businesses on open account without a formal written promissory note or credit card.

Companies may offer a **sales discount** as an early payment incentive. Often credit terms are abbreviated on the sales invoice as follows:



- Sales discounts (often called a cash discount) encourage early payment from customers, reducing the need for the company to borrow money to meet operating needs.
- Customers tend to pay bills providing discounts first.

Sales Discounts to Businesses (2 of 2)

Companies commonly record sales discounts taken by subtracting the discount from sales if payment is made **within** the discount period.

For example, if credit sales of \$1,000 are recorded with terms 2/10, n/30 and payment of \$980 ($\$1,000 \times 0.98 = \980) is made **within** the discount period, net sales of the following amount would be reported:

Sales revenue	\$1,000
Less: Sales discounts ($0.02 \times \$1,000$)	<u>20</u>
Net sales (reported on the income statement)	\$ 980

If payment is made **after** the discount period, the full \$1,000 would be reported as net sales.

To Take or Not to Take the Discount, That Is the Question



FINANCIAL ANALYSIS

Purchasers often take discounts within the discount period because the savings are substantial! With credit terms of 2/10, n/30, a purchaser saves 2% by paying 20 days early (on the 10th day instead of the 30th day). This translates into a substantial annual interest rate.

$$\frac{\text{Amount Saved}}{\text{Amount Paid}} = \text{Interest Rate for 20 Days}$$

$$\frac{\$2}{\$98} = 2.04\% \text{ for 20 days}$$

$$\text{Interest Rate for 20 Days} \times \frac{365 \text{ days}}{20 \text{ days}} = \text{Annual Interest Rate}$$
$$2.04\% \times \frac{365 \text{ days}}{20 \text{ days}} = 37.27\% \text{ Annual Interest Rate}$$

The purchaser will save by taking the cash discount as long as the interest rate from the bank at a rate of interest that is **less than** the calculated annual interest rate above.

Sales Returns and Allowances

Customers have a right to return unsatisfactory or damaged merchandise and receive a refund or an adjustment to their bill.

Returns are accumulated in a separate account called **Sales Returns and Allowances** which is **deducted from gross sales revenue** to determine **net sales**.

Sales revenue	\$2,000
Less: Sales returns and allowances	<u>500</u>
Net sales (reported on the income statement)	\$1,500

Cost of goods sold related to the returned items would also be reduced.

Reporting Net Sales

Companies record credit card discounts, sales discounts, and sales returns and allowances separately to allow management to monitor the magnitude of these transactions.

Net Sales (also called Net sales revenue, Net revenues, or Sales) to all customers is the top line reported on the income statement.



The amount of revenue to record is the **amount it expects to be entitled to receive**. Consequently, sales discounts and sales returns and allowances must be subtracted to compute **net sales**.

Exhibit 6.1

Net Sales on the Income Statement

SKECHERS U.S.A., INC. AND SUBSIDIARIES

Consolidated Statements of Earnings (partial)

Years Ended December 31, 2023, 2022, 2021

(amounts in thousands)

	2023	2022	2021
Sales	\$8,000,342	\$7,444,550	\$6,310,187
Cost of sales	<u>3,847,938</u>	<u>3,929,193</u>	<u>3,185,816</u>
Gross profit	4,152,404	3,515,357	3,124,371
Operating expenses:			
Selling	676,890	583,626	499,532
General and administrative	<u>2,690,728</u>	<u>2,385,061</u>	<u>2,026,652</u>
Total operating expenses	<u>3,367,618</u>	<u>2,968,687</u>	<u>2,526,184</u>
Earnings from operations	<u>\$ 784,786</u>	<u>\$ 546,670</u>	<u>\$ 598,187</u>
...			

Volume Discounts/Rebates and Earnings Misstatements



A QUESTION OF ETHICS

In 2016, the SEC found that Monsanto **materially misstated** company sales and earnings by improperly accounting for volume discounts and rebates offered to retailers and distributors of its product, **Roundup**.

Sales revenue should be recorded **“in the amount the company expects to be able to receive”**. This rule requires Monsanto to **reduce the amount of reported net sales for expected rebates** in the period of the sale.

Monsanto delayed recording rebates until the following year, overstating net sales and earnings before taxes by \$44.5 million and \$11 million, respectively, in the two years

Monsanto improperly accounted for rebates (\$56 million) as expense instead of a reduction in net sales. This practice overstated gross profit, a measure used by investors, but did not affect income tax.

Monsanto paid an \$80 million penalty, and three Monsanto executives paid penalties between \$30,000 and \$55,000. The CEO and CFO returned bonuses of \$3,165,852 and \$728,843.

Revenue Recognition for Bundled Goods and Services: A Five Step Process (1 of 3)

Bundling of goods and services within one sales contract is common in a variety of industries.

When a seller promises to provide more than one good or service in a single sales contract, FASB standards specify a **five-stop process** to determine the amount to be recognized as revenue.

Step 1: Identify the contract between the company and customer.
Step 2: Identify the performance obligations (promised goods and services).
Step 3: Determine the transaction price.
Step 4: Allocate the transaction price to the performance obligations.
Step 5: Recognize revenue when each performance obligation is satisfied (or over time if a service is provided over time).

Revenue Recognition for Bundled Goods and Services:

A Five Step Process (2 of 3)

Assume Apple sells an iPad for \$500, (1) \$450 of which relates to the **hardware with essential software** and (2) \$50 of which relates to **future software upgrades** that would be provided over **five years**.

Step 1: Identify the contract between the company and the customer.	
Step 2: Identify the performance obligations (promised goods and services).	
Step 3: Determine the transaction price.	
Step 4: Allocate the transaction price to the performance obligations.	
Step 5: Recognize revenue when each performance obligation is satisfied (or over time if a service is provided over time).	

Revenue Recognition for Bundled Goods and Services: A Five Step Process (3 of 3)

Assume Apple sells an iPad for \$500, (1) \$450 of which relates to the **hardware with essential software** and (2) \$50 of which relates to **future software upgrades** that would be provided over **five years**.

After applying the five-step process, revenue from the contract would be recognized as follows:

Year	1	2	3	4	5	Total
Revenue	$\$450 + \$10 = \$460$	\$10	\$10	\$10	\$10	\$500

Measuring and Reporting Receivables

Classifying Receivables

Receivables may be classified in three common ways:

Accounts receivable
(created by a credit sale on an
open account)

or

Notes receivable
(a written promise to pay
principal and interest at one
or more future dates)

Trade receivable
(created in the normal course of
business when a credit sale of
merchandise or services occurs)

or

Nontrade receivables
(arise from transactions
other than the normal
course of business. *Such as
an employee loan.*)

Current
(short-term)

or

Noncurrent
(long-term)

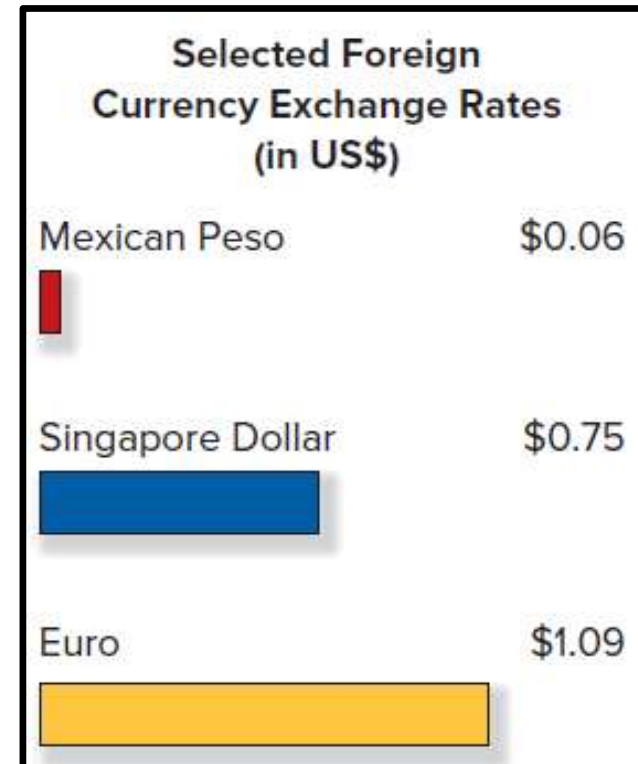
Foreign Currency Receivables



INTERNATIONAL PERSPECTIVE

Export (international) sales are a growing part of the U.S. economy. Most export sales to businesses are on credit.

When a buyer agrees to pay in its local currency, **the resulting accounts receivable is denominated in a foreign currency.** This amount cannot be added to other U.S. dollar accounts receivable. **Companies must convert the amount to U.S. dollars** using the end-of-period exchange rate between the two currencies.



Learning Objective 6-2

6-2 Estimate, report, and evaluate the effects of uncollectible accounts receivable (bad debts) on financial statements.

Accounting for Bad Debts

Companies keep a separate accounts receivable account for each customer (called a **subsidiary account**). The amount on the balance sheet represents the total of these individual customer accounts.

Bad debts result from credit customers who will not pay the amount they owe, regardless of collection efforts.

The **Expense Recognition Principle** requires recording of bad debt expense in the **same** accounting period in which the related sales are made.

Problem – Company may not learn which particular customers will not pay until the **next** accounting period. At the end of the period the company does not know which customers' accounts are bad debts!

Therefore, companies use the **allowance method to measure bad debt expense**. The allowance method is **based on estimates** of the expected amount of bad debts with two steps:

- 1) Make end-of-period adjusting entry to record bad debt expense.
- 2) Write off specific accounts determined to be uncollectible during the period.

Recording Bad Debt Expense Estimates

Bad debt expense (doubtful accounts expense, uncollectible accounts expense, provision for uncollectible accounts) is the expense associated with estimated uncollectible accounts receivable. An **adjusting journal entry at the end of the accounting period** records the bad debt expense estimate.

Example: Skechers estimated bad debt expense for 2023 to be \$27,741 (in thousands) and made the following adjusting entry:

	Debit	Credit
Bad debt expense (+E, -SE)	27,741	
Allowance for doubtful accounts (+XA, -A)		27,741



An adjusting journal entry at the end of the accounting period records the bad debt estimate.

Assets	=	Liabilities	+	Stockholders' Equity
Allowance for doubtful accounts -27,741				Bad debt expense (+E) -27,741

The Allowance for doubtful accounts is a Contra-asset account subtracted from the asset Accounts Receivable on the balance sheet.

Bad debt expense is the expense associated with estimated uncollectible accounts receivable. It is included in the category "General and Administrative" expense on the income statement.

Writing Off Specific Uncollectible Accounts

Throughout the year, when it is determined that a customer will not pay its debts (e.g., due to bankruptcy), the write-off of that individual bad debt is recorded through a journal entry.

Assume Skechers' total write-offs for 2023 totaled \$29,346.

Tip Individual bad debts are written off **throughout the period** when it is determined that a customer won't pay its debts.

	Debit	Credit
Allowance for doubtful accounts (−XA, +A)	29,346	
Accounts receivable (−A)		29,346

Assets	=	Liabilities	+	Stockholders' Equity
Allowance for doubtful accounts +29,346				
Accounts receivable −29,346				

Notice that this journal entry **did not affect any income statement accounts**.

- **It did not record a bad debt expense** because the estimated expense was recording with an adjusting entry.
- **ALSO**, this entry did **not change the net book value of accounts receivable** because the decrease in the asset account (Accounts Receivable) was offset by the decrease in the contra-asset account (Allowance for Doubtful Accounts). Therefore, the entry **did not affect total assets**.

Bad Debt Recoveries

FINANCIAL ANALYSIS



When a company receives a payment on an account that has already been written off, the journal entry to write off the account is reversed to put the receivable back on the books and then the collection of cash is recorded.

For example, if the previously written-off amount was \$677, the following two entries are made:

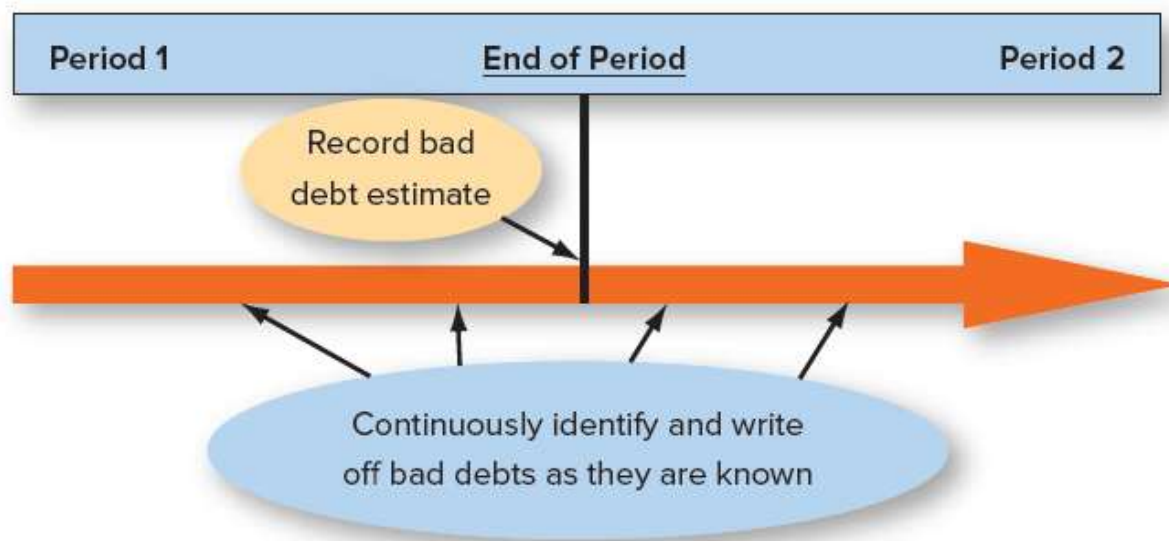
	Debit	Credit
Accounts receivable (+A)	677	
Allowance for doubtful accounts (+XA, -A)		677
Cash (+A)	677	
Accounts receivable (-A)		677

Note that **these entries**, like the original write-off, **do not affect total assets or net income**. Only the estimate of bad debts affects these amounts.

Summary of the Accounting Process (1 of 2)

Accounting for bad debts is a two-step process.

Step	Timing	Accounts Affected	Financial Statement Effects
1. Record estimated bad debts adjustment	End of period in which sales are made	Bad Debt Expense (E) ↑ Allowance for Doubtful Accounts (XA) ↑	Net Income ↓ Assets (Accounts Receivable, Net) ↓
2. Identify and write off actual bad debts	Throughout period as bad debts become known	Accounts Receivable (A) ↓ Allowance for Doubtful Accounts (XA) ↓	Net Income } Assets (Accounts Receivable, Net) } No effect



Summary of the Accounting Process (2 of 2)

Accounts Receivable (Gross)(A)			
Beginning balance	907,759	Collections on account	7,960,588
Sales on account	8,000,342	Write-offs	29,346
Ending balance			
	<u>918,167</u>		

Allowance for Doubtful Accounts (XA)			
		Beginning balance	59,472
Write-offs	29,346	Bad debt expense adjustment	27,741
		Ending balance	<u>57,867</u>

Accounts Receivable Dec. 31, 2023	
Accounts Receivable (Gross) (A)	\$918,167
Allowance for Doubtful Accounts (XA)	<u>57,867</u>
Accounts Receivable (Net) (A)	\$860,300

Exhibit 6.2

Reporting Accounts Receivable and Bad Debts

SKECHERS U.S.A., INC. AND SUBSIDIARIES
CONSOLIDATED BALANCE SHEETS (partial)
December 31, 2023 and 2022
(amounts in thousands)

	2023	2022
ASSETS		
Current assets:		
Cash and cash equivalents	\$ 1,189,910	\$ 615,733
Short-term investments	72,595	102,166
Trade accounts receivable, less allowances of \$57,867 in 2023 and \$59,472 in 2022	860,300	848,287
Other receivables	82,253	86,036
Inventories	1,525,409	1,818,016
Prepaid expenses and other	222,137	176,035
Total current assets	<u>\$3,952,604</u>	<u>\$3,646,273</u>

SKECHERS U.S.A.

REAL WORLD EXCERPT:

Annual Report

Exhibit 6.3

Accounts Receivable Valuation Schedule (Form 10-K)

Publicly traded companies report the amount of bad debt expense and accounts receivable written off for the period if the amounts are material.

SCHEDULE II—VALUATION AND QUALIFYING ACCOUNTS

Years Ended December 31, 2023, 2022 and 2021

(amounts in thousands)

Allowance for Doubtful Accounts	Balance at Beginning of Year	Bad Debt Expense		Balance at End of Year
		Additions	Deductions	
December 31, 2021	\$ 48,562	\$ 56,508	\$ 42,386	\$ 62,684
December 31, 2022	62,684	32,362	35,574	59,472
December 31, 2023	59,472	27,741	29,346	57,867

SKECHERS U.S.A.

REAL WORLD EXCERPT:
Annual Report

Estimating Bad Debt Expense

Companies estimate the amount of uncollectible accounts using the method that provides the **best estimate** given the company's circumstances. This is often referred to as the Current Expected Credit Loss (CECL) model.

The bad debt expense amount recorded in the end-of-period adjusting entry often is estimated based on either

- (1) a **percentage of total credit sales** for the period or
- (2) an **aging of accounts receivable**.

Both methods are acceptable under GAAP and are widely used.

The percentage of **credit sales method** is **simpler** to apply, but the **aging method** is **generally more accurate**.

Many companies use the simpler method on a weekly or monthly basis and use the more accurate method on a monthly or quarterly basis to check the accuracy of the earlier estimates.

Estimating Bad Debts—Percentage of Credit Sales Method

The percentage of credit sales method bases bad debt expense on the historical percentage of credit sales that result in bad debts. Assume, expected bad debt losses of 1.0 percent of credit sales and credit sales were \$1,970,000 in 2024.

Credit sales	\$1,970,000
× Bad debt loss rate (1.0%)	× 0.01
<u>Bad debt expense</u>	<u>\$ 19,700</u>

- This amount would be directly recorded as Bad Debt Expense (and an increase in Allowance for Doubtful Accounts) in the current year.
- The beginning balance in the Allowance for Doubtful Accounts for 2024 would be the ending balance for 2023.
- Assuming write-offs during 2024 of \$14,106, the ending balance is computed as follows:

Allowance for Doubtful Accounts (XA)			
		2024 Beginning balance	29,700
2024 Write-offs	14,106	2024 Bad debt expense adjustment	19,700
		2024 Ending balance	? = 35,294

Percent of credit sales estimate

Beginning balance	\$29,700
+ Bad debt expense	19,700
– Write-offs	<u>14,106</u>
Ending balance	<u>\$35,294</u>

Estimating Bad Debts—Aging of Accounts Receivable

The Aging method assumes that as accounts receivable becomes older and more overdue, it is less likely to be collected.

The method estimates uncollectible accounts based on the age of each receivable. Here is an example of an aging schedule of Accounts Receivable:

Aging Schedule 2024					
Aged Accounts Receivable			Estimated Percentage Uncollectible		Estimated Amount Uncollectible
Not yet due	\$485,000	×	1%	=	\$ 4,850
Up to 90 days past due	104,400	×	6%	=	6,264
Over 90 days past due	80,600	×	30%	=	24,180
Estimated ending balance in Allowance for Doubtful Accounts					35,294
Less: Balance in Allowance for Doubtful Accounts before adjustment (\$29,700 – \$14,106)					15,594
Bad Debt Expense for the year					<u>\$19,700</u>

Allowance for Doubtful Accounts (XA)					
2024 Write-offs	14,106	2024 Beginning balance	29,700		
		2024 Bad debt expense adjustment	?	= 19,700	
		2024 Ending balance	35,294		Total estimated uncollectible accounts

Estimating Bad Debts—Comparison of the Two Methods

It is important to recognize that the approach to recording bad debt expense using the percentage of credit sales method is different from that for the aging method.

- **Percentage of credit sales.** Directly compute the amount to be recorded as **Bad Debt Expense** on the **income statement** for the period in the adjusting journal entry.
- **Aging of Accounts Receivable.** Compute the **estimated ending balance** we would like to have in the **Allowance for Doubtful Accounts** on the **balance sheet** after we make the necessary adjusting entry. The **difference** between the current balance in the account and the estimated balance is recorded as the adjusting entry for Bad Debt Expense for the period.



Tip

The **percentage of credit sales method** is a simple one-step process where the current period's bad debt expense is directly estimated.



Tip

The **aging of accounts receivable method** is a three-step process where (1) the estimated ending balance in the allowance is calculated, (2) which is compared to the current balance, (3) to compute the bad debt expense adjustment for the period.

Actual Write-offs Compared with Estimates

If uncollectible accounts actually written off differ from the estimated amount previously recorded, **a higher or lower amount of bad debt expense is recorded in the next period** to make up for the previous period's error in estimate.

When estimates are found to be incorrect, financial statement values for prior annual accounting periods are not corrected.

CRITICAL ACCOUNTING POLICIES

Allowance for Bad Debts . . .

Accounts receivable is recorded net of estimated losses from our customers' inability to pay. To minimize the likelihood of uncollectibility, customers' credit-worthiness is reviewed and adjusted periodically in accordance with external credit reporting services, financial statements issued by the customer and our experience with the account. We determine the amount of the reserve by analyzing known uncollectible accounts, aged receivables, historical losses and our customers' credit-worthiness. Amounts later determined and specifically identified to be uncollectible are charged or written off against this reserve. Allowances for bad debts are recorded to general and administrative expenses. For receivables that are not specifically identified as high risk, we provide a reserve based upon our historical loss rate as a percentage of sales.

SKECHERS U.S.A.

REAL WORLD EXCERPT:

Form 10-K

Control over Accounts Receivable

Practices that Can Help Minimize Bad Debts

Require approval of customers' credit by a person independent of the sales and collections functions.

Age accounts receivable periodically and contact customers with overdue payments.

Coordinate both sales and collections personnel for speedy collections so they work as a team.

Learning Objective 6-3

6-3 Analyze and interpret the receivables turnover ratio and the effects of accounts receivable on cash flows.

Receivables Turnover Ratio



KEY RATIO ANALYSIS

The receivables turnover ratio measures the effectiveness of a company's credit-granting and collection activities.

The ratio calculates how many times average trade receivables are recorded and collected for the year.

$$\text{Receivables Turnover Ratio} = \frac{\text{Net Sales}^*}{\text{Average Net Trade Accounts Receivable}^\dagger}$$

The 2023 receivables turnover ratio for Skechers is:

$$\frac{85,412}{(9,300 + 10,287)/2} = 9.36$$

COMPARISON OVER TIME		
Skechers U.S.A.		
2021	2022	2023
	9.42	9.36

COMPARISONS WITH COMPETITORS	
Wolverine World Wide	Crocs
	2023
9.42	13.18

Since the amount of net credit sales is normally not reported separately, most analysts use net sales in this equation.
$$\text{Average Net Trade Accounts Receivable} = (\text{Beginning Net Trade Accounts Receivable} + \text{Ending Net Trade Accounts Receivable}) \div 2.$$

Accounts Receivable (1 of 2)

FOCUS ON CASH FLOWS



When there is a net **decrease in accounts receivable** for a period, cash collected from customers is more than revenue; thus, the decrease must be **added** in computing cash flows from operations.

When a net **increase in accounts receivable** occurs, cash collected from customers is less than revenue; thus, the increase must be **subtracted** in computing cash flows from operations

	Effect on Cash Flows
Operating activities (indirect method)	
Net income	\$ xxx
Adjustments:	
+ Accounts receivable decrease	+
or	
- Subtract accounts receivable increase	-

Account Receivable (2 of 2)

FOCUS ON CASH FLOWS



SKECHERS U.S.A., INC.	
Condensed Statement of Cash Flows (in millions)	
For the Year Ended December 31, 2013	
Cash flows from operating activities	
Net earnings	\$649,923
Adjustments to reconcile net income to cash provided by operating activities:	
.....	...
Changes in operating assets and liabilities	
Receivables	(3,416)
.....	...
.....	...
Net cash provided by operating activities	...

Learning Objective 6-4

6-4 Report, control and safeguard cash.

Cash and Cash Equivalents

Cash is defined as money or any instrument that banks will accept for deposit and immediately credit to a company's account.

Cash

Drafts

Money Order

Checks

Cash equivalents are investments with original maturities of three months or less that are readily convertible to cash and whose value is unlikely to change (*they are not sensitive to interest rate changes*).

Certificates of Deposit issued by banks

Treasury Bills issued by U.S. government

Most companies combine their bank accounts and cash equivalents into one amount, **Cash and Cash Equivalents**, on the balance sheet.

Cash Management

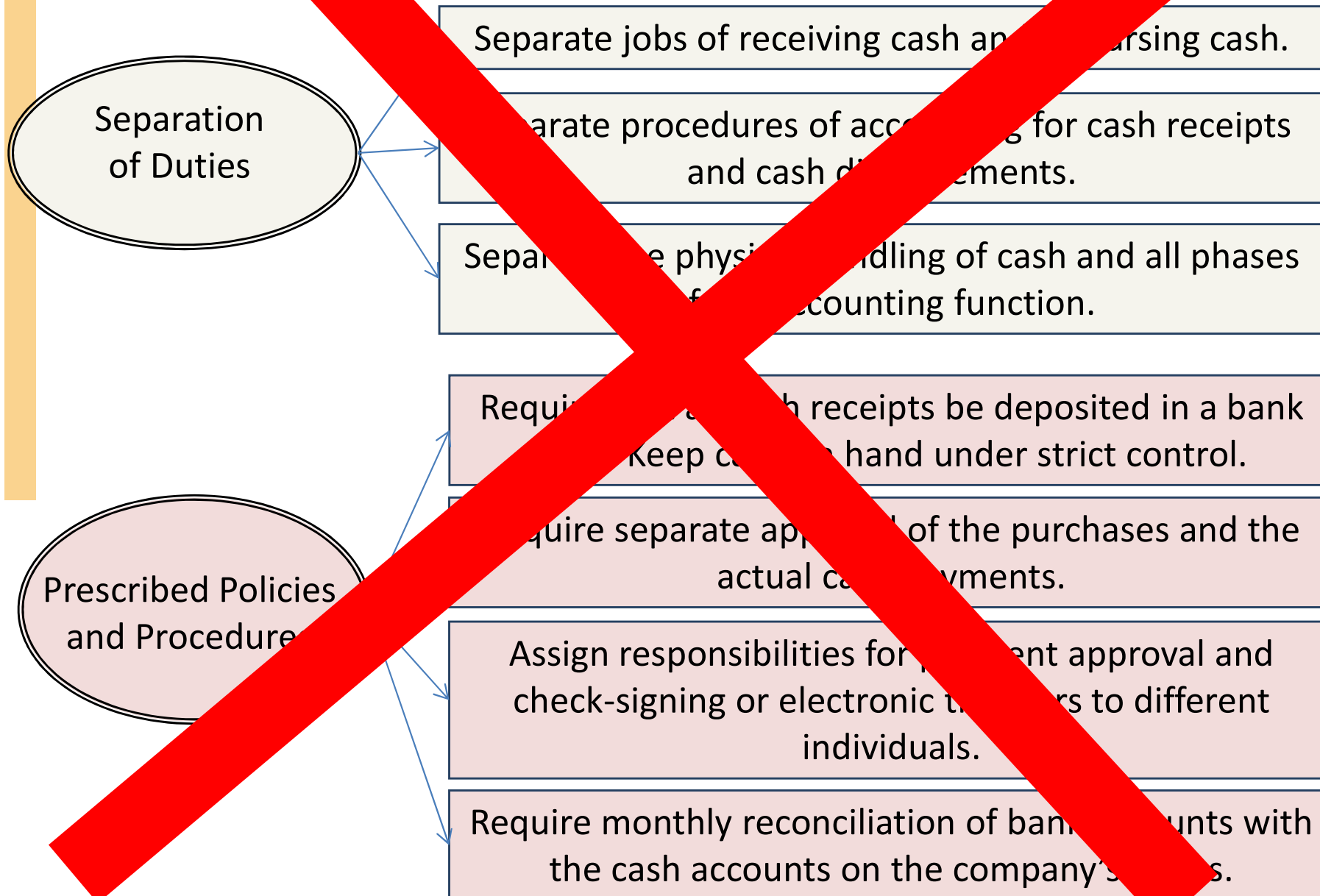
Effective cash management involves more than protecting cash from theft, fraud, or loss through carelessness.

Accurate accounting that reports of cash flow and balances may be prepared.

Controls to ensure that enough cash is available to meet current operating needs, maturing liabilities, and unexpected emergencies.

Prevention of the accumulation of excess amounts of idle cash that does not earn revenue.

Effective Internal Control of Cash



Ethics and the Need for Internal Control



A QUESTION OF ETHICS

All well-run companies should have strong internal control procedures

Convicted criminals say they were led astray by their employers because it was easy, and no one cared.

Although the vast majority of employees are trustworthy, employee theft costs businesses billions of dollars each year.

Many companies have a formal code of ethics requiring high standards of behavior.

Exhibit 6.4

Example of Bank Statement



ROW.COM, Inc.
1000 Blank Road
Austin, Texas 78703

... & LAVACA
... IN, TEXAS 78789
... 512/476-6611

STATEMENT
DATE
30-Jun-24

Date	Description	Check Number	Debits (14)	Credits (5)	Balance
31-May	Balance Last Statement				7,762.40
02-Jun	Austin Energy - EFT	50			7,262.40
02-Jun	Deposit			3,000.00	10,262.40
03-Jun	Check 120				10,207.40
09-Jun	State Farm - EFT				10,107.40
09-Jun	Deposit			500.00	10,607.40
10-Jun	Check 122		8.20		10,599.20
11-Jun	Longhorn Real Estate - EFT		2,150.00		8,449.20
18-Jun	Check 125		46.80		8,402.40
18-Jun	INT				8,422.40
19-Jun	Check 127		208.00		8,214.40
24-Jun	Check 128		82.70		8,131.70
24-Jun	Deposit			228	8,361.70
25-Jun	NSF		18.00		8,343.70
25-Jun	Check		144.40		8,199.30
26-Jun	Check		22.52		8,176.78
26-Jun	Check			300.00	8,476.78
27-Jun	Check 130		96.50		8,380.28
30-Jun	Check 126		52.08		8,328.20
30-Jun	SC		6.00		8,322.20
30-Jun	This Statement		3,490.20	4,050.00	8,322.20

Electronic
Funds Transfer
(EFT)

Interest
Earned (INT)

Not Sufficient
Funds (NSF)

Service
Charge (SC)

Need for Reconciliation

A **bank reconciliation** is the process of comparing (reconciling) the ending cash balance in the company's records (the books) and the ending cash balance reported by the bank on a monthly bank statement (or on the online banking site). A bank reconciliation should be completed at the **end of each month**.

Usually, the ending cash balance on the bank statement does not agree with the ending cash balance in the cash ledger account in the books of the company. This is because some transactions affecting cash were recorded in the books but were not shown on the bank statement. Some transactions were shown on the bank statement but had not been recorded in the books.

The most common causes of differences include:

Outstanding Checks

Bank Service Charges

Errors by the Bank or the Company

Deposits in Transit

NSF Checks

Interest Earned

Bank Reconciliation Illustrated (1 of 3)

General Format of Bank Reconciliation

Ending cash balance per books		Ending cash balance per bank statement	\$xxx
+ Interest paid by bank		+ Deposits in transit	xx
- NSF checks/Service charges	xx	- Outstanding checks	xx
± Company errors	xx	± Company errors	xx
Ending correct cash balance	\$xxx	Ending correct cash balance	\$xxx

Exhibit 6.5

Bank Reconciliation Illustrated (2 of 3)

ROW.COM, INC. Bank Reconciliation for the Month Ending June 30, 2024			
Company's Books		Bank Statement	
Ending cash balance per books	\$9,045.00	Ending cash balance per bank statement	\$8,322.20
Additions		Additions	
Interest paid by the bank		Deposit in transit	1,800.00
Error in recording payment	709.00		
	<u>709.00</u>		<u>1,800.00</u>
			10,122.20
Deductions		Deductions	
NSF check of R. Smith	18.00	Outstanding checks	1,077.20
Bank service charges	6.00		
	<u>24.00</u>		
Ending correct balance	<u>\$9,045.00</u>	Ending correct balance	<u>\$9,045.00</u>

Bank Reconciliation Illustrated (3 of 3)

Any transactions or changes on the company's books side of the bank reconciliation need journal entries.

Here are the journal entries necessary for Row.com:

	Debit	Credit
(a) Cash (+A)		
Interest income (+R,		20
To record interest by bank.		
(b) Accounts receivable (+A)	18	
Cash (−A)		18
To record NSF check.		
(c) Bank service expense (+E, −	6	
Cash (−A)		6
To record service fee charged by bank.		
(d) Cash (+A)		
Accounts payable (+L)		9
To correct error made in recording a check payable to a creditor.		

Assets	=	Liabilities	+	Stockholders' Equity
Cash (+A, −18, −6, +9) +5		Accounts payable +9		Interest income (+R) +20
Accounts receivable +18				Bank service expense (−E) −6

Chapter Supplement: Recording Discounts and Returns (1 of 2)

Cash discounts must be recorded as contra-revenues that reduce reported net sales.

For example, if credit sales of \$1,000 are recorded with terms 2/10, n/30 ($\$1,000 \times 0.98 = \980) and payment is made within the discount period, record the following:

<i>On sales date:</i>	Debit	Credit
Accounts receivable (+A)	1,000	
Sales revenue (+R, +SE)		1,000

Assets	=	Liabilities	+	Stockholders' Equity
Accounts receivable +1,000				Sales revenue (+R) +1,000

<i>On payment date:</i>	Debit	Credit
Cash (+A)	980	
Sales discount (+XR, -R, -SE)	20	
Accounts receivable (-A)		1,000

Assets	=	Liabilities	+	Stockholders' Equity
Cash +980				Sales discount (+XR) -20
Accounts receivable -1,000				

Chapter Supplement: Recording Discounts and Returns (2 of 2)

Sales returns and allowances should always be treated as a **contra-revenue** that reduces net sales.

Assume that Dick's Sporting Goods buys 40 pairs of shoes from Skechers for \$2,000 on account. On the date of sale, Skechers makes the following journal entry:

<i>On sales date:</i>	Debit	Credit
Accounts receivable (+A)	2,000	
Sales revenue (+R, +SE)		2,000

Assets		=	Liabilities	+	Stockholders' Equity	
Accounts receivable	+2,000				Sales revenue (+R)	+2,000

Before paying for the shoes, however, Dick's Sporting Goods discovers that 10 pairs of shoes are not the color ordered and returns them to Skechers. On that date Skechers records:

<i>On return date:</i>	Debit	Credit
Sales returns and allowances (+XR, -R, -SE)	500	
Accounts receivable (-A)		500

Assets		=	Liabilities	+	Stockholders' Equity	
Accounts receivable	-500				Sales returns and allowances (+XR)	-500